EQUITY RESEARCH REPORT

INFY

INFOSYS LIMITED

NSE: INFY | BSE: 500209 | NYSE ADR: INFY | IT Services

The price assumes no growth. The order book disagrees.

RECOMMENDATION	TARGET PRICE (12M)	CURRENT PRICE	UPSIDE
BUY	₹1,400	₹1,185	+18%

Price: NSE close, 31 October 2026 · Report date: 1 November 2026

₹4.82 lakh cr	15.6x	7.4%	₹980–1,728
market cap	trailing P/E	FCF yield	52-week range

Monisha Jasrai

Equity Research | Portfolio project

For educational and informational purposes only. Not investment advice.

Disclosures

This report is prepared for academic and portfolio purposes only. It does not constitute investment advice, a recommendation, or an offer to buy or sell any security. The author is not a SEBI-registered Research Analyst or Investment Adviser, and the report is not prepared under the SEBI (Research Analysts) Regulations, 2014. Readers should do their own due diligence and consult a registered financial adviser before making any decision. Investing involves risk, including loss of principal. Past performance is not indicative of future results.

Information is drawn from Infosys Limited's quarterly results and fact sheets (Q3 FY26 to Q2 FY27), press releases, Form 6-K filings, and from public market-data sources as of 31 October 2026. Historical financial statements use the company's IFRS US-dollar figures as standardised by S&P Global Market Intelligence. Peer multiples, shareholding percentages and broker price targets come from third-party aggregators and may differ from terminal data. Figures may not sum due to rounding.

Forecasts, the discounted-cash-flow valuation, scenario assumptions and the rating are the author's own. Valuation is subjective: small changes in the discount rate or terminal assumptions move the result materially (see the sensitivity analysis in Section 4). Forward-looking statements may differ materially from actual results.

Infosys and its marks are trademarks of Infosys Limited. The company is named only to identify the subject of this report; the author is not affiliated with, endorsed by, or sponsored by Infosys.

The full valuation model (Python and a formula-driven Excel workbook) is public at github.com/monisha-jasrai/Infosys-DCF-Model.

Monisha Jasrai
Equity Research | Portfolio project

Contents

Disclosures 2

Contents 3

Investment summary: the price assumes no growth 4

- Investment thesis and thesis in five points 4
- Bear / base / bull and key estimates 5
- Valuation football field 6
- Key KPIs to watch 6
- Thesis scorecard: growth is the swing factor 7

Section 1: Company overview and strategy 8

- Business mix: verticals and geographies 9
- Deal wins, AI and clients 10
- Recent performance: Q2 FY27 in detail 11
- Industry and competitive landscape 12
- Macro, currency and SWOT 13

Section 2: Management, governance and ownership 14

- Shareholding and capital allocation 15

Section 3: Financial statement analysis 16

- Quarterly trend 17
- Cost structure, margins and people 18
- Balance sheet 19
- Cash flow and working capital 20
- Returns on capital and earnings quality 21

Section 4: Valuation 22

- Forecast drivers 22
- Scenarios 23
- Discounted cash flow valuation 24
- Terminal value and sensitivity 25
- Monte Carlo and reverse DCF 26
- Relative valuation 27
- Rating and target price 28
- Our view against the Street; catalysts 29
- Risks 30

Appendix A: Assumption register; Appendix B: Methodology 31

Appendix C: Sources; Appendix D: Glossary 32

Report information

Company	Infosys Limited	**Current price**	₹1,185 (31 Oct 2026)
Ticker	NSE: INFY · BSE: 500209	**Target price (12m)**	₹1,400
Sector	Information Technology	**Recommendation**	BUY
Industry	IT services and consulting	**Analyst**	Monisha Jasrai
Fiscal year	Ends 31 March	**Report date**	1 November 2026

Amounts in ₹ crore unless stated (1 crore = 10 million; 1 lakh crore = 1 trillion). CC = constant currency. FY27 = April 2026 to March 2027.

Investment summary: the price assumes no growth

Recommendation	Price (31 Oct 2026)	12-month target	Expected total return
BUY	**₹1,185**	**₹1,400**	**+22%**
non-consensus	NSE: INFY	+18.1% price return	incl. ~4% dividend yield

Market cap	52-week range	P/E trailing / FY28E	Net cash
₹4.82L cr	**₹980–1,728**	**15.6x / 13.9x**	**₹36,400 cr**
about $51 bn	price at 27% of range	peer median 19.9x	no borrowings

Investment thesis

What is working	What the market worries about	Key debate
• Large-deal wins of $5.2 bn in Q2 FY27, 62% net new, incl. a 7-year $2 bn+ deal • AI revenue 10.5% of total, up from 8.2% a quarter earlier • Free cash flow 113% of net profit; $3.7 bn in FY26 • Margin steady at 21.0%, inside 20–22% guidance	• FY27 growth guidance cut twice, now 1–2% CC • Retail (−7.7%) and hi-tech (−17.3%) shrinking • AI productivity gains passed back to clients as lower prices • CEO change on 1 April 2027	*"Is Infosys a business whose growth AI will permanently erode, or a cash-rich franchise at a cyclical low whose order book already points to recovery in FY28?"*

Thesis in five points

- **The price assumes almost no growth.** Run backwards, our DCF says ₹1,185 needs only 3.6% a year rupee revenue growth for ten years. Strip out about 3% a year of rupee depreciation and that is close to zero in constant currency, below even the twice-cut FY27 guidance.
- **Growth looks close to bottoming.** Q2 FY27 large-deal wins of $5.2 bn were the highest in the last six quarters. Management expects the $2 bn+ net-new deal alone to add more than one point to FY28 growth.
- **AI is becoming a revenue line, not just a threat.** AI work rose from 8.2% to 10.5% of revenue in one quarter, up 29% sequentially. It is still too small to offset deflation in legacy work, but it changes the shape of the debate.
- **Cash returns put a floor under the stock.** FY26 free cash flow of $3.7 bn is a 7.4% yield at today's price. Infosys returned over $4 bn in FY26 through dividends and an ₹18,000 crore buyback, and raised its interim dividend 13% to ₹26.
- **The valuation gap is wide even on cautious inputs.** Our target is the midpoint of two DCFs (₹1,269 and ₹1,524) that differ only in how India's country risk enters the discount rate. At ₹1,400 the stock would trade on 17.9x FY27E earnings, in line with TCS today.

> **Where we could be wrong:** the Street disagrees. The median of ten broker targets published after Q2 is ₹1,108, below the current price, and only UBS (₹1,415) and Asit C Mehta (₹1,425) sit above our ₹1,400. If FY28 guidance in April 2027 comes in below 2% CC growth, or India's bond yields push the right discount rate toward the raw G-Sec version (₹1,269), the upside largely disappears.

Bear / base / bull

	FY26 (actual)	Bear	Base	Bull
Storyline	–	AI deflation bites	Guidance-anchored	AI services re-accelerate
Revenue CAGR FY26–FY36E (₹)	–	4.8%	7.3%	9.3%
Revenue FY36E (₹ crore)	178,650	285,324	361,190	434,460
Average EBIT margin	20.3%	19.2%	20.7%	21.7%
WACC	–	11.4%	10.7%	10.2%
Terminal growth / exit EV/EBITDA	–	4.0% / 9.0x	5.0% / 11.0x	5.5% / 13.5x
DCF value per share	**–**	**₹1,021**	**₹1,524**	**₹2,141**
vs current price	–	-14%	+29%	+81%

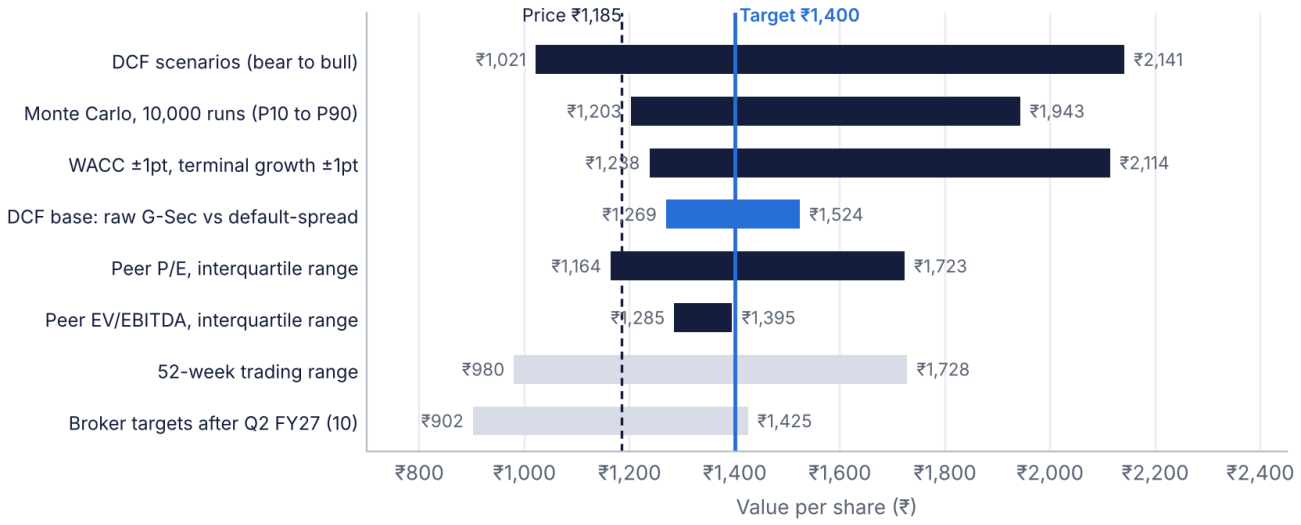
Source: own DCF model. Scenario shifts are applied to every forecast year: bear −2.5pt growth, −1.5pt margin, +0.75pt WACC; bull +2.0pt growth, +1.0pt margin, −0.5pt WACC. Value per share is the 50/50 blend of the value-driver and exit-multiple terminal methods.

Key estimates and valuation range

₹ crore (FY ends March)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	**153,670**	**162,990**	**178,650**	**196,515**	**210,271**
growth (₹)	4.7%	6.1%	9.6%	10.0%	7.0%
growth (constant currency)	1.4%	4.2%	3.1%	1–2% (guide)	4–5% (est.)
EBIT	31,749	34,573	36,239	41,268	44,040
EBIT margin	20.7%	21.2%	20.3%	21.0%	20.9%
Net profit	26,233	26,713	29,440	31,900	34,600
Diluted EPS (₹)	**63.4**	**64.5**	**71.6**	**78.4**	**85.0**
EPS growth	10.1%	1.7%	11.0%	9.5%	8.4%
P/E at ₹1,185	18.7x	18.4x	16.6x	15.1x	13.9x
Dividend per share (₹)	46	43	48	53	58
Dividend yield	3.9%	3.6%	4.1%	4.5%	4.9%
Free cash flow ($ bn)	2.9	4.1	3.7	–	–

Source: company filings; own model. FY24 DPS includes an ₹8 special dividend; FY25 free cash flow includes one-off income-tax refunds; FY26 EBIT margin includes a one-off Labour Codes charge (adjusted ~21.0%). FY27E builds on H1 FY27 actual net profit of ₹15,592 crore. FY27E–FY28E dividends assume a ~68% payout, close to FY26.

Valuation football field



Source: own DCF model (scenarios, Monte Carlo, sensitivity, comps snapshot of 13 Oct 2026); 52-week range NSE; broker targets Business Today, 26 Oct 2026.

Reading the football field

Almost every intrinsic method sits above the current price; only the Street's targets and the bottom of the trading range sit mostly below it. The Monte Carlo P10 (₹1,203) is slightly above ₹1,185, and the WACC/growth sensitivity grid stays above the price except at its most extreme corner. The single largest swing comes from one modelling choice: whether the risk-free rate is the raw 10-year G-Sec yield (₹1,269) or the yield less India's default spread (₹1,524). Our target sits between the two, not at the top.

Key KPIs to watch

These are the indicators that will confirm or break the thesis. Latest figures are from the Q2 FY27 fact sheet.

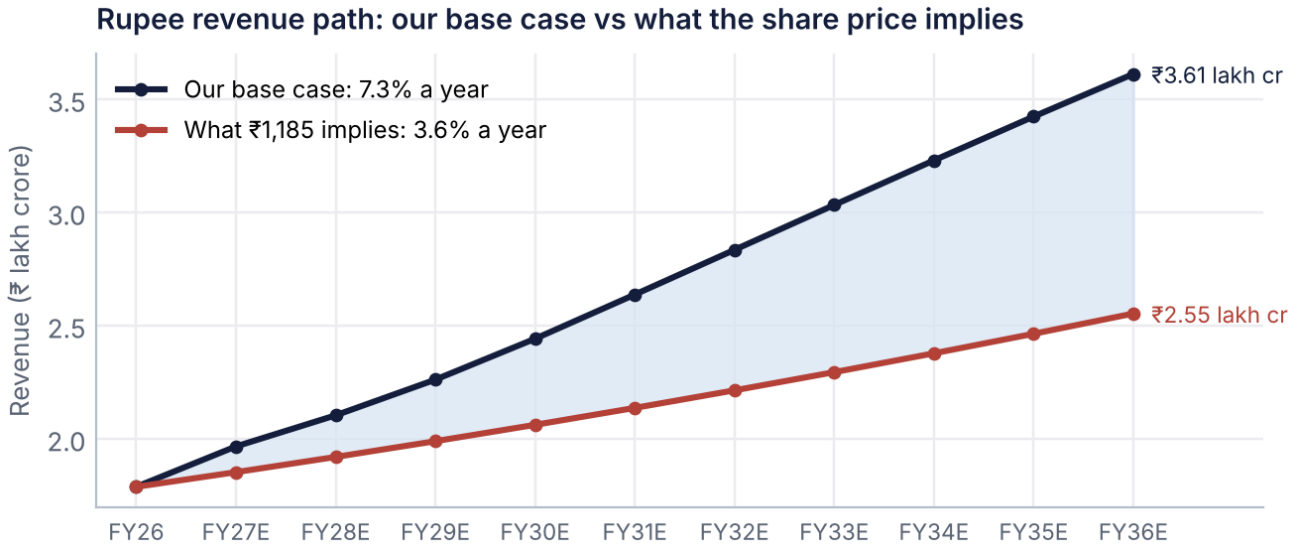
Operating KPI	Latest data	Why it matters for the thesis
Revenue growth (CC, YoY)	+1.5% in Q2 FY27 (Q1 +2.4%)	Base case needs 4–5% CC from FY28; a third year near 1–2% breaks it.
Large-deal TCV	$5.2 bn in Q2 (Q1 $3.6 bn), 62% net new	Leading indicator of revenue 2–4 quarters out; we want $3.5 bn+ a quarter.
AI revenue share	10.5% of revenue (Q1 8.2%)	Shows whether AI creates more work than it deflates.
Retail and hi-tech	−7.7% and −17.3% YoY CC	18% of revenue still shrinking; stabilisation lifts the total.
$100M+ clients	42 (41 a year earlier)	Mining large accounts is how Infosys grows in a slow market.
Utilisation (excl. trainees)	85.4% (84.9% in Q1)	Little room to push further; growth now needs hiring.
Voluntary attrition (LTM)	12.7% (14.3% a year earlier)	Lower attrition contains wage and replacement costs.

Financial KPI	Latest data	Why it matters for the thesis
Operating margin	21.0% in Q2 FY27; guide 20–22%	We hold 21.0% fading to 20.5%; below 20% for two quarters changes the call.
FCF conversion	113% of net profit in Q2	Supports the dividend and buyback floor under the stock.
DSO	64 days (71 a year earlier)	Faster collection is part of why cash conversion is above 100%.
EPS growth (₹)	+8.8% YoY in Q2	Rupee weakness and the buyback lift EPS even with ~1.5% CC growth.
Other income	₹733 cr, −16% YoY	Lower after cash was used for the buyback; a drag on EPS growth.
Effective tax rate	29.2% (27.9% a year earlier)	Each point is roughly 1.4% of net profit.

Source: Infosys Q2 FY27 fact sheet and IFRS INR press release (23 Oct 2026); own calculations.

Thesis scorecard: growth is the swing factor

Everything in the call rests on one line: how fast rupee revenue grows over the next decade. The chart compares our base case (7.3% a year, which is about 4–5% constant-currency growth plus 2.5–3% rupee depreciation) with the growth rate that would make the DCF equal today's price.



Source: own DCF model, reverse DCF holding WACC at 10.7% and margins at the base case.

What would confirm or change the call

Signal	Latest	Supports the BUY	Moves toward HOLD / SELL
FY28 CC growth guidance (Apr 2027)	Not issued	3% or more	Below 2%
Large-deal TCV per quarter	$5.2 bn	Above $3.5 bn	Below $2.5 bn for two quarters
Operating margin	21.0%	20.5–22%	Below 20% for two quarters
10-year G-Sec yield	7.40%	Stable or lower	Above 7.75% (pushes toward the raw-yield value)
Share price vs target	₹1,185	Below ~₹1,217 (BUY zone)	₹1,217–1,474 HOLD; above ₹1,474 SELL

Thresholds use our rating rule on the ₹1,400 target: BUY if expected price return ≥ +15%, HOLD between −5% and +15%, SELL below −5%.

Section 1: Company overview and strategy

FY26 revenue	Employees (Sep 2026)	Active clients	Interim dividend FY27
₹1.79L cr	**332,542**	**2,060**	**₹26**
$20.2 bn; +3.1% CC	77% offshore effort	42 above $100M a year	+13% YoY

Who they are

Infosys Limited (NSE: INFY) is India's second-largest IT services company by revenue and market value, after TCS. Founded in 1981 and headquartered in Bengaluru, it helps large enterprises build, run and modernise their technology: consulting, application development and maintenance, cloud and infrastructure management, business process management, and software products such as the Finacle banking platform. About 97% of revenue comes from outside India, led by **North America (55%)** and **Europe (33%)**, while most delivery is from Indian centres, which is why the rupee matters so much to reported growth and margins.

Strategy: from labour arbitrage to AI-led services

Under CEO Salil Parekh (since January 2018) Infosys repositioned around digital and cloud work, then around AI through its Topaz suite of AI services and platforms and Cobalt for cloud. The pitch to clients is now productivity: using AI to run existing systems with fewer people, and redirecting the savings into new AI and data projects. That is both the opportunity and the risk. Clients increasingly ask for AI productivity gains to be passed back as lower prices, which deflates legacy work, while AI-related revenue reached 10.5% of the total in Q2 FY27.

The leadership is also changing. Parekh steps down on 31 March 2027 after two terms; Ashiss Kumar Dash, a three-decade Infosys insider who runs the energy, utilities, resources and services business, becomes CEO on 1 April 2027.

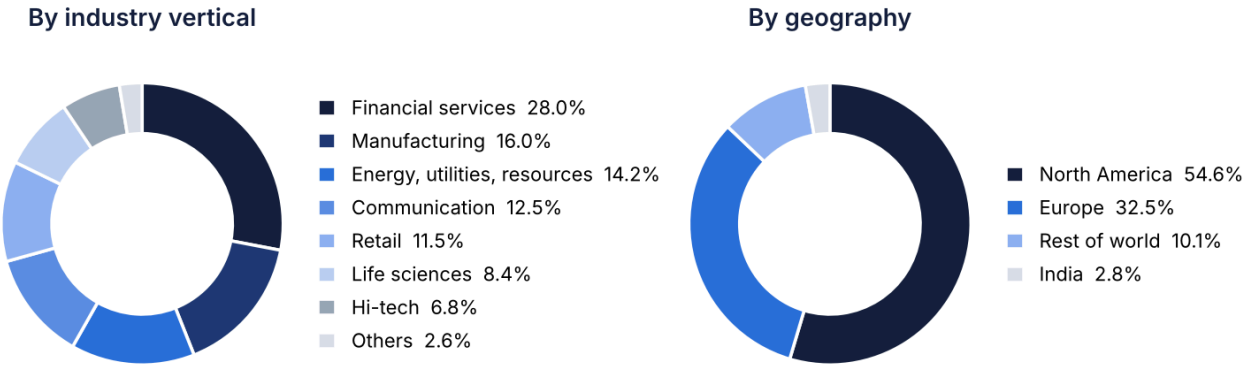
Company snapshot

Item	Detail
Headquarters / founded	Bengaluru, India / 1981; listed in India 1993, US ADR since 1999
Chairman	Nandan M. Nilekani (co-founder; non-executive chairman since 2017)
CEO and MD	Salil Parekh until 31 March 2027; Ashiss Kumar Dash from 1 April 2027
CFO	Jayesh Sanghrajka
Fiscal year-end	31 March (FY27 = April 2026 to March 2027)
Employees / utilisation	332,542 at 30 Sep 2026 / 85.4% excluding trainees
Capital returns	Interim dividend ₹26 (record date 3 Nov 2026); ₹18,000 crore buyback in FY26
Balance sheet	No borrowings; cash and investments ₹45,232 crore at 30 Sep 2026

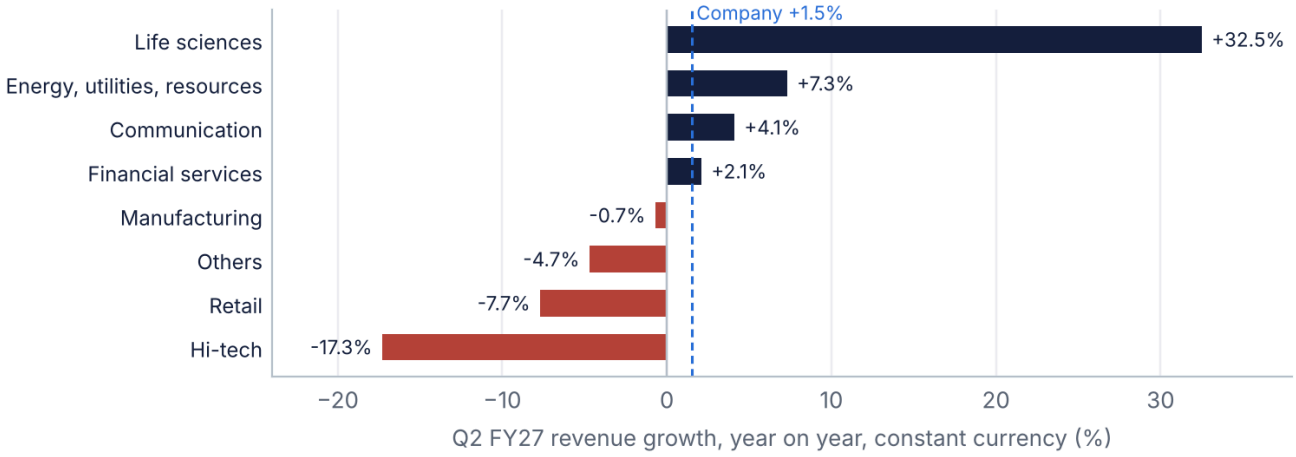
Source: Infosys Q2 FY27 fact sheet; company press releases (CEO succession, 23 Jul 2026).

Business mix: verticals and geographies

Infosys reports revenue by industry vertical and by client geography. **Financial services** is the largest vertical at 28%, followed by manufacturing and energy, utilities and resources. Concentration is low: the top 10 clients are 19.8% of revenue and no vertical is above 30%.



Source: Infosys Q2 FY27 fact sheet (share of Q2 FY27 revenue).



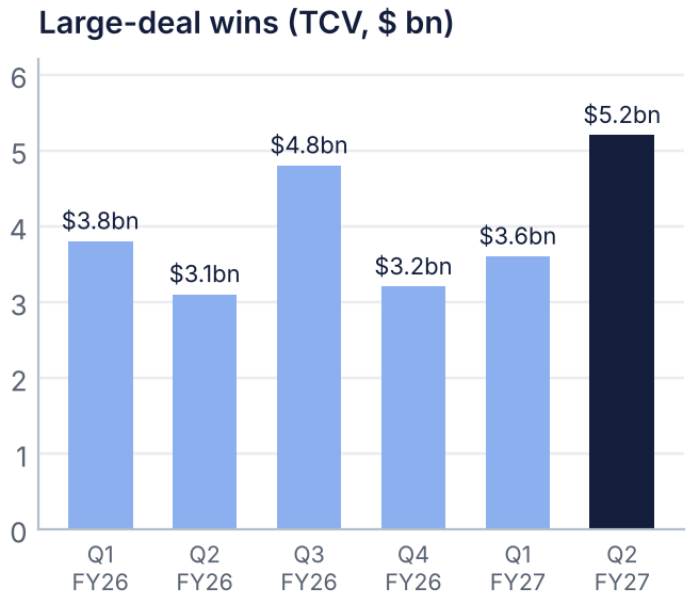
Source: Infosys Q2 FY27 fact sheet.

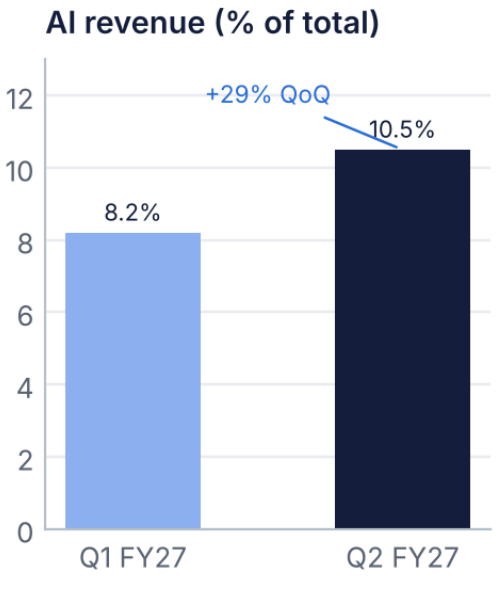
Vertical	Share Q2 FY26	Share Q2 FY27	YoY reported	YoY CC
Financial services	27.7%	28.0%	2.3%	2.1%
Manufacturing	16.5%	16.0%	−1.4%	−0.7%
Energy, utilities, resources, services	13.4%	14.2%	7.4%	7.3%
Communication	12.1%	12.5%	4.4%	4.1%
Retail	12.7%	11.5%	−8.1%	−7.7%
Life sciences	6.4%	8.4%	32.5%	32.5%
Hi-tech	8.3%	6.8%	−17.5%	−17.3%
Others	2.9%	2.6%	−7.4%	−4.7%
Total	**100%**	**100%**	**1.3%**	**1.5%**

What stands out

- **Two verticals explain the slowdown.** Retail and hi-tech, 18% of revenue, shrank 8% and 17%. Excluding them, the rest of the business grew roughly 5%.
- **Life sciences and energy are the growth engines** (+32.5% and +7.3%), helped by large deals ramping up.
- **North America is soft (−1.5% CC) while Europe grows (+4.6%)**, so the mix is drifting toward Europe.

Deal wins, AI and clients





Source: Infosys quarterly results Q1 FY26 to Q2 FY27. TCV = total contract value of large deals (over $50 mn). AI share shown for the two latest quarters.

The order book is the leading indicator

Large-deal TCV of **$5.2 bn in Q2 FY27** was the highest of the last six quarters, and 62% of it was net new work rather than renewals. It includes a seven-year, $2 bn+ net-new deal that management expects to add more than one point to FY28 growth, and a $1 bn renewal. Because large deals take two to four quarters to ramp up, this quarter's wins mostly show up in FY28 revenue, not FY27. That timing gap is the heart of our disagreement with the Street, which is focused on the weak next two quarters.

AI: still small, growing fast

The AI share of revenue rose from 8.2% to 10.5% in one quarter, which on $5.1 bn of quarterly revenue is about $540 mn, up roughly 29% sequentially. The honest caveat: the definition is the company's own and some of this is existing work relabelled. The useful signal is the direction, and that AI work is now large enough to show up in deal wins.

Client metrics

	Q2 FY26	Q1 FY27	Q2 FY27
Active clients	1,896	2,027	2,060
New clients added (gross)	118	155	142
$1M+ clients	1,012	1,026	1,048
$10M+ clients	322	333	322
$50M+ clients	85	85	87
$100M+ clients	41	41	42
Top 5 / top 10 clients, % of revenue	13.0% / 20.7%	12.1% / 19.9%	12.2% / 19.8%
DSO (days)	71	63	64

Source: Infosys Q2 FY27 fact sheet.

Client counts are rising across most bands while concentration is falling, which suggests the slowdown is about spending per client in a few verticals rather than lost relationships.

Recent performance: Q2 FY27 in detail

₹ crore unless stated	Q2 FY26	Q1 FY27	Q2 FY27	YoY	QoQ
Revenue	44,490	48,211	49,244	10.7%	2.1%
Revenue ($ mn)	5,076	5,082	5,145	1.3%	1.2%
Revenue growth, constant currency	–	–	–	1.5%	1.2%
Gross profit	13,690	15,178	15,301	11.8%	0.8%
Operating profit	9,353	10,163	10,330	10.4%	1.6%
Operating margin	21.0%	21.1%	21.0%	0.0pt	−0.1pt
Other income, net	876	865	733	−16.3%	−15.3%
Effective tax rate	27.9%	29.5%	29.2%	+1.3pt	−0.3pt
Net profit	**7,364**	**7,769**	**7,823**	**6.2%**	**0.7%**
Diluted EPS (₹)	17.74	19.17	19.30	8.8%	0.7%
Free cash flow ($ mn)	1,101	955	928	−15.7%	−2.8%

Source: Infosys Q2 FY27 fact sheet and IFRS INR / USD press releases (23 Oct 2026).

Reading the quarter

- **Rupee growth flatters the headline.** Revenue rose 10.7% in rupees but only 1.5% in constant currency. The rupee averaged about ₹95.7 per dollar in the quarter, against about ₹87.6 a year earlier.
- **Margin held but missed estimates.** 21.0% was flat year on year and inside guidance, but below what the Street expected; wage hikes land in Q3 and Q4.
- **EPS grew faster than profit** (8.8% vs 6.2%) because the FY26 buyback reduced the share count.
- **Guidance was cut a second time**, to 1–2% CC growth for FY27, from 1.5–3% in July and 1.5–3.5% in April.

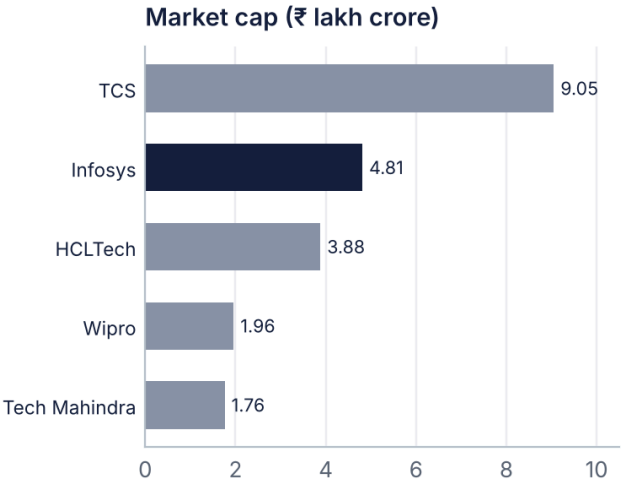
Key highlights from the results and call

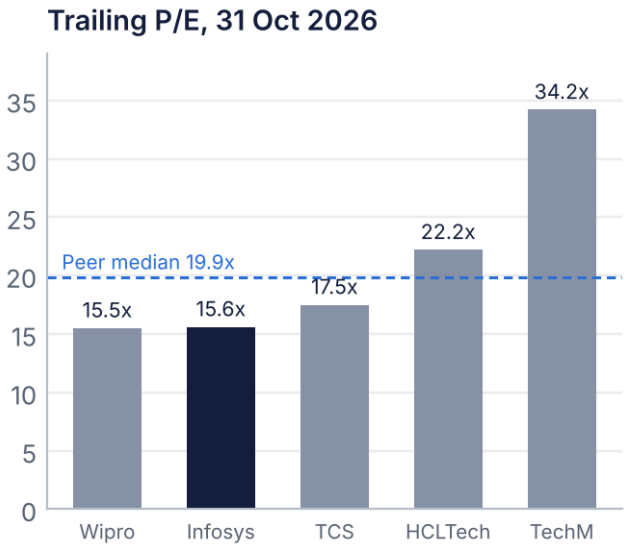
✓ Revenue $5,145 mn, +1.5% YoY CC
✓ Large deals $5.2 bn, 62% net new
✓ FCF $928 mn, 113% of net profit
✓ Headcount +4,480 QoQ to 332,542
× FY27 guidance cut to 1–2% CC
✓ Operating margin 21.0%
✓ AI revenue 10.5% of total
✓ Interim dividend ₹26, +13%
✓ Attrition down to 12.7%
× Retail and hi-tech still shrinking

> **Management takeaway:** a soft quarter with a strong order book. Management is guiding conservatively for FY27 while pointing to FY28, when the large deals ramp up. Infosys also plans to hire about 20,000 freshers in FY27, which is consistent with expecting volumes to pick up.

Industry and competitive landscape

Indian IT services is a mature, export-driven industry. The large firms compete for multi-year outsourcing and transformation contracts from global enterprises, mostly in the US and Europe. Three forces shape the industry today: **AI-led deflation** in labour-heavy maintenance work, **Global Capability Centres (GCCs)**, the in-house technology centres multinationals are building in India, and **vendor consolidation**, where clients cut their supplier lists and award fewer, larger deals. The last one favours scale players such as Infosys.





Source: Tapetide IT sector table, prices and multiples as of 31 Oct 2026.

Competitor	Model / strength	Market cap (₹ L cr)	Trailing P/E	Threat to Infosys
TCS	Largest Indian IT firm; scale, banking	9.05	17.5x	High: wins the same large deals
HCLTech	Infrastructure, engineering, software	3.88	22.2x	High: faster growth, premium multiple
Wipro	Broad services; turnaround	1.96	15.5x	Medium
Tech Mahindra	Telecom-heavy; margin recovery	1.76	34.2x	Medium: inflated by depressed earnings
Accenture, Cognizant	Global and US-listed peers; consulting depth	–	–	High in consulting-led deals
GCCs and AI-native firms	Clients' own centres; AI-first vendors	–	–	Rising: insourcing and price pressure

Porter's five forces (our assessment)

Force	Intensity	Comment
Rivalry	High	Five large Indian firms plus global players chase the same deals; pricing is competitive.
Threat of new entrants	Medium	Scale, references and delivery depth are barriers, but AI lowers the cost of entry for niche work.
Buyer power	High	Large clients run competitive bids and now ask for AI productivity to be passed back.
Supplier power	Low–medium	Talent is the key input; attrition at 12.7% is well below the 2022 peak.
Substitutes	Medium–high	GCCs, SaaS products and AI tools replace some outsourced work.

Moat assessment: client relationships, delivery scale, a net-cash balance sheet and execution record are real advantages, but the moat is narrower than a decade ago. Infosys's edge is now being one of the few firms trusted with large, multi-year transformation deals, which is exactly where the Q2 wins came from.

Macro, currency and SWOT

The rupee: a tailwind to reported numbers

Infosys earns in dollars, euros and pounds but pays most of its costs in rupees. The rupee averaged about ₹95.7 per dollar in Q2 FY27, roughly 9% weaker than a year earlier, which is why rupee revenue grew 10.7% while constant-currency growth was 1.5%. Our long-run forecast assumes 2.5–3% a year of rupee depreciation, in line with the inflation gap between India and the US. A sharp rupee rally is a risk to rupee growth and margins.

Rates: the biggest valuation variable

The 10-year G-Sec yield was 7.40% in mid-October 2026. Using it directly as the risk-free rate gives a WACC of 12.5% and a value of ₹1,269; stripping out India's 1.87% default spread, as Damodaran recommends when a country risk premium is also added, gives 10.7% and ₹1,524. Each 50bp on WACC moves our base value by roughly ₹110–140 per share.

Client spending

Demand is split: banks, energy and life-sciences clients are spending on modernisation and AI, while US retail and hi-tech clients are cutting discretionary projects. A broader US slowdown is the main macro risk, because North America is 55% of revenue.

Macro factor	Direction	Effect on Infosys	In our model
Rupee ~₹95.7/$ (Q2 FY27)	Tailwind	Higher rupee revenue and margin support	2.5–3% a year depreciation
10-year G-Sec 7.40%	Headwind	Higher discount rate	Two DCF versions; target at midpoint
US discretionary spend	Mixed	Retail and hi-tech weak; BFSI steady	4–5% CC growth from FY28
AI adoption	Mixed	Deflates legacy work; creates new projects	Margin fades 21.0% to 20.5%

SWOT analysis

Strengths

- Net cash, no borrowings; FCF above net profit
- Scale and trust for $1 bn+ deals
- Diversified: no vertical above 30% of revenue
- Low attrition (12.7%) and stable 21% margins

Weaknesses

- Growth below TCS and HCLTech for two years
- FY27 guidance cut twice
- Retail and hi-tech still shrinking
- Other income falling after the buyback

Opportunities

- AI services: 10.5% of revenue and rising
- Vendor consolidation favours scale players
- Mega-deal ramp in FY28
- Life sciences and energy growing fast

Threats

- AI price deflation in managed services
- GCCs insourcing work
- US slowdown or a stronger rupee
- Execution risk around the CEO change

Section 2: Management, governance and ownership

Leadership

Role	Name	Background / note
Non-executive Chairman	Nandan M. Nilekani	Co-founder; former CEO; returned as non-executive chairman in 2017.
MD and CEO (until 31 Mar 2027)	Salil Parekh	CEO since January 2018, two terms; previously at Capgemini. Led the digital, cloud and AI repositioning.
CEO Designate (from 1 Apr 2027)	Ashiss Kumar Dash	Over three decades at Infosys; EVP and global head of services, utilities, resources, energy and enterprise sustainability. Appointed for five years, subject to shareholder approval.
Chief Financial Officer	Jayesh Sanghrajka	Infosys CFO; previously deputy CFO.

Source: Infosys press release, Board appoints CEO Designate (23 Jul 2026); company disclosures.

The CEO transition

The board chose an insider over an external hire, with an eight-month handover. That favours continuity: Dash runs one of the fastest-growing verticals (energy, utilities, resources and services grew 7.3% CC in Q2) and knows the client base. The risks are the usual ones around a succession: senior departures, clients pausing decisions, and a new CEO resetting guidance low in his first year. FY28 guidance in April 2027 will be the first set under Dash, so it is both the key catalyst and the key risk for this call.

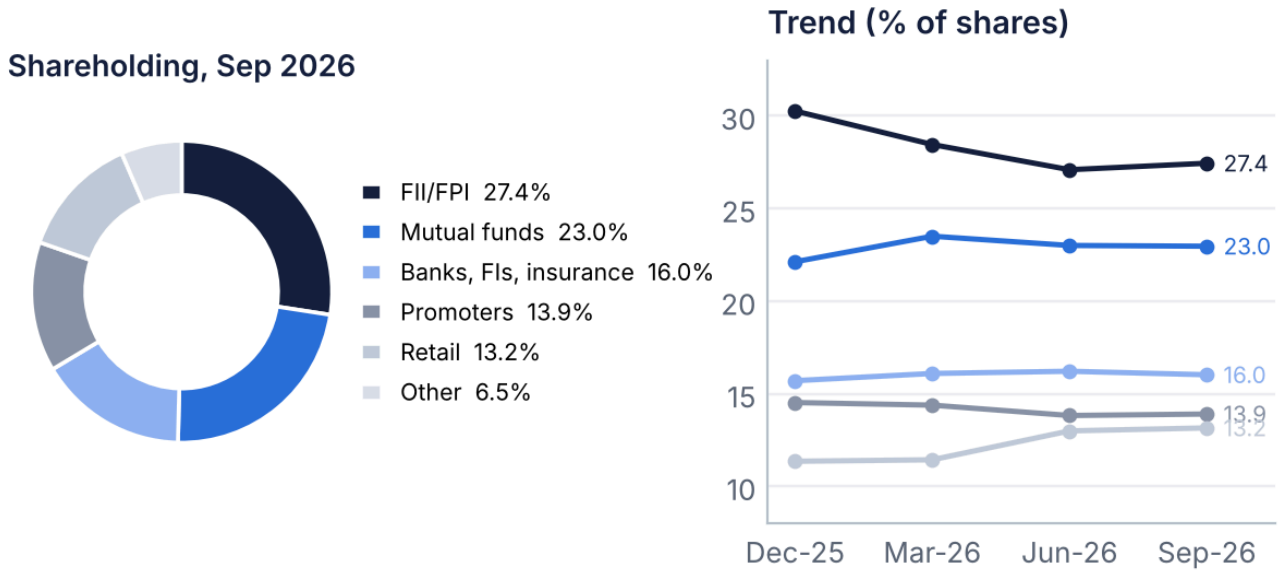
Governance

- **Separate chairman and CEO.** The chairman is a co-founder and non-executive, which keeps the board's oversight separate from management.
- **Promoter group holds 13.9%, with no pledged shares.** The founders are long-term holders but do not control the company; 70% of shares are with institutions.
- **A consistent capital return record.** Infosys has paid dividends every year and run several buybacks, including its largest ever (₹18,000 crore) in FY26.

Pay and incentives

Executive pay at Infosys combines salary with performance-based stock units tied to metrics such as revenue growth, operating margin and total shareholder return. Linking pay to growth aligns management with the recovery thesis; the risk is that margin targets discourage the investment needed to win in AI. We would watch how the new CEO's targets are set in the 2027 proxy.

Shareholding and capital allocation



Source: Equitymaster shareholding pattern (BSE filings), quarters to Sep 2026.

Category (% of shares)	Dec-25	Mar-26	Jun-26	Sep-26
Promoters (founders and families)	14.52	14.38	13.82	13.90
Foreign portfolio investors	30.26	28.45	27.09	27.44
Mutual funds	22.12	23.50	23.00	22.96
Banks, financial institutions, insurance	15.70	16.09	16.21	16.02
Retail individuals	11.35	11.43	12.99	13.15
Pledged promoter shares	0.00	0.00	0.00	0.00

Reading the register

- **Foreign investors have been selling**, from about 33% in Dec 2024 to 27.4%, while Indian mutual funds and retail investors have been buying. That rotation is consistent with the stock's de-rating.
- **Foreign selling looks to have paused** in the September quarter (+0.35pt), an early sign that positioning is already bearish.

Capital allocation

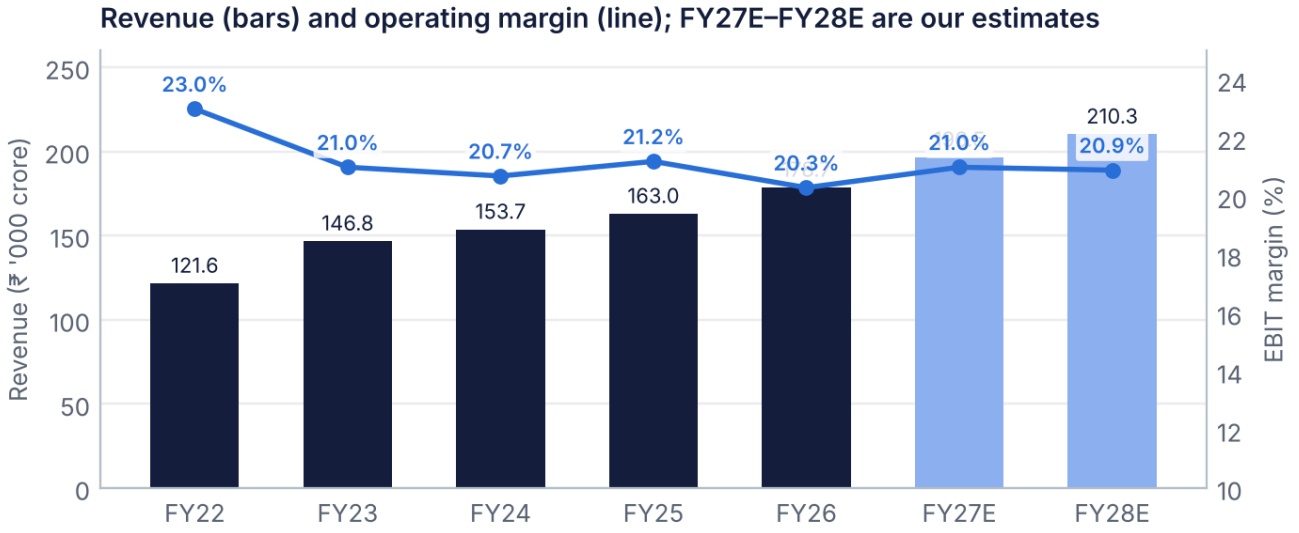
$ mn	FY22	FY23	FY24	FY25	FY26	FY22–26
Free cash flow	3,055	2,534	2,882	4,088	3,733	16,292
Dividends paid	1,703	1,697	1,777	2,007	2,133	9,317
Share buybacks	1,503	1,398	0	0	2,006	6,907
Total returned	**3,206**	**3,095**	**1,777**	**2,007**	**4,139**	**16,224**
Returned / FCF	105%	122%	62%	49%	111%	100%

Source: S&P Global Market Intelligence via stockanalysis.com (IFRS, USD). FCF = operating cash flow less capex.

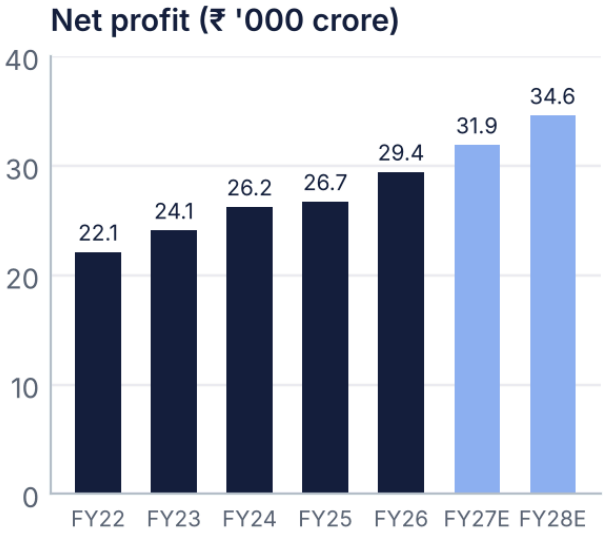
Over five years Infosys returned essentially all of its free cash flow to shareholders, and its stated policy is to return about 85% of free cash flow over a five-year period. With no debt and limited acquisition appetite, cash returns are a dependable part of the equity story, and they are why we describe the 7.4% FCF yield as a floor.

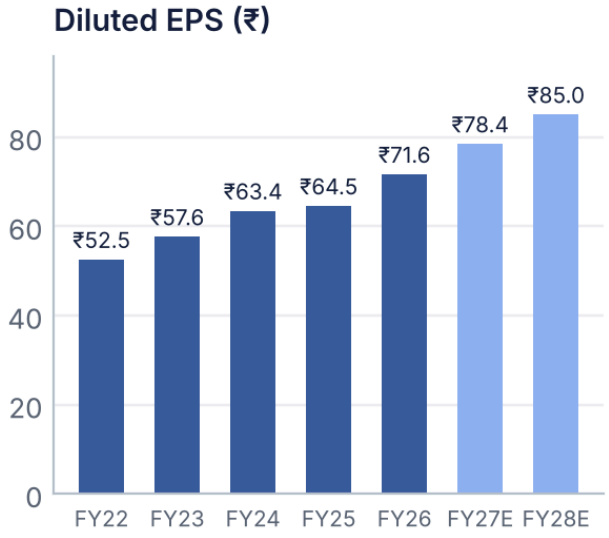
Section 3: Financial statement analysis

FY26 revenue	FY26 EBIT margin	FY26 diluted EPS	H1 FY27 net profit
₹1,78,650 cr	**20.3%**	**₹71.6**	**₹15,592 cr**
+9.6% ₹; +3.1% CC	~21.0% ex Labour Codes	+11.0% YoY	+9.1% YoY



Source: company filings (FY22–FY26); own model (FY27E–FY28E).





Source: company filings; own model.

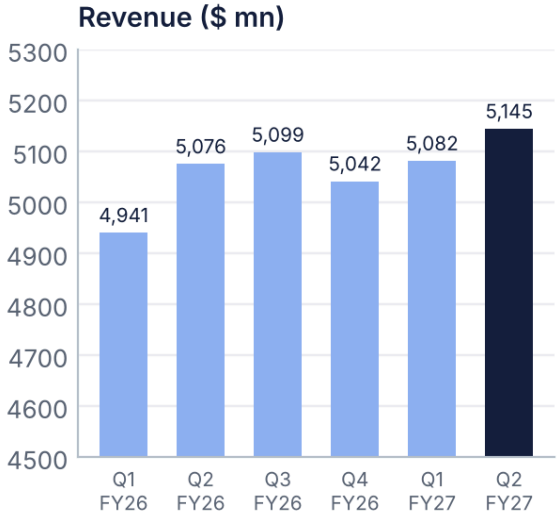
Summary

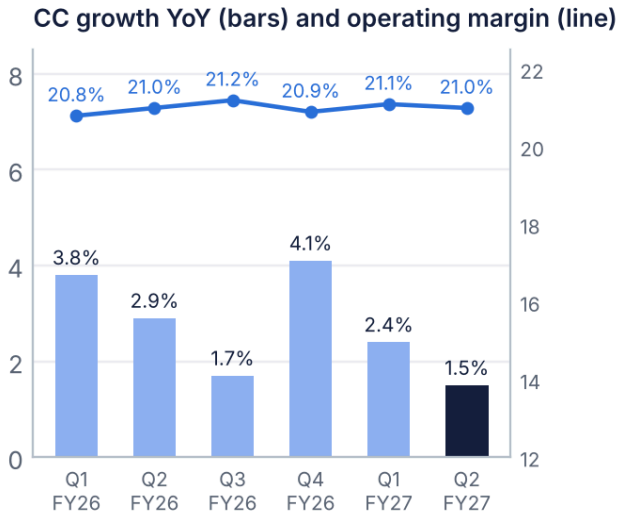
Rupee revenue has compounded at about 10% a year from FY22 to FY26 (₹1,21,641 crore to ₹1,78,650 crore), but almost half of that came from a weaker rupee: dollar revenue grew about 5.4% a year. Margins fell from the post-pandemic peak of 23.0% in FY22 to a steady 20.5–21% band as wage inflation and pricing pressure absorbed productivity gains. Net profit has still grown every year, and EPS faster than profit thanks to buybacks. We forecast FY27E revenue of ₹1,96,515 crore (+10.0%, mostly currency) and EPS of ₹78.4, then ₹85.0 in FY28E as large deals ramp up.

Quarterly trend

	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	Q2 FY27
Revenue (₹ crore)	42,279	44,490	45,479	46,402	48,211	49,244
Revenue ($ mn)	4,941	5,076	5,099	5,042	5,082	5,145
CC growth YoY	3.8%	2.9%	1.7%	4.1%	2.4%	1.5%
Operating margin	20.8%	21.0%	21.2%*	20.9%	21.1%	21.0%
Net profit (₹ crore)	6,921	7,364	6,654*	8,501	7,769	7,823
Large-deal TCV ($ bn)	3.8	3.1	4.8	3.2	3.6	5.2
Employees	–	331,991	337,034	328,594	328,062	332,542
Implied ₹ per $	85.6	87.6	89.2	92.0	94.9	95.7

*Source: Infosys quarterly results. *Q3 FY26 margin adjusted; reported 18.4% after a one-off ~₹1,280 crore ($143 mn) Labour Codes charge, which also reduced net profit. Q4 FY26 dollar revenue derived from the FY26 total. Implied ₹/$ = rupee revenue / dollar revenue.*





Source: Infosys quarterly results.

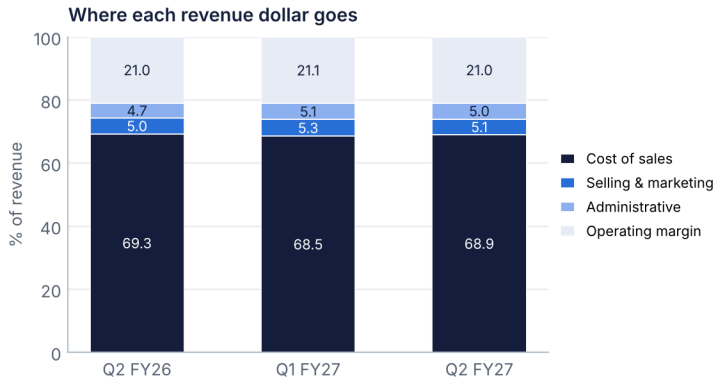
Rupee growth vs real growth

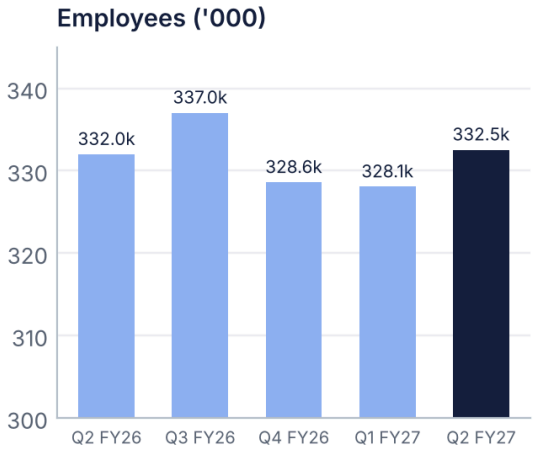
Over these six quarters dollar revenue grew only about 4% in total, but rupee revenue rose 16% because the implied exchange rate moved from about ₹85.6 to ₹95.7 per dollar. This matters for two reasons. First, the reported rupee numbers that Indian investors see look healthy even when underlying demand is weak. Second, our DCF is in rupees, so the forecast must separate the two: we assume 4–5% constant-currency growth from FY28 plus 2.5–3% rupee depreciation.

The margin is remarkably stable

Excluding the Labour Codes charge, the operating margin has stayed within 20.8–21.2% for six quarters, despite slowing growth. The weaker rupee has offset wage increases and price cuts. That stability is why we model only a mild fade, to 20.5% by FY36, rather than a sharp drop.

Cost structure, margins and people





Source: Infosys Q2 FY27 fact sheet (IFRS USD income statement); quarterly headcount disclosures.

% of revenue (IFRS, $)	Q2 FY26	Q1 FY27	Q2 FY27	Change YoY
Cost of sales (mainly employee costs)	69.3%	68.5%	68.9%	−0.4pt
Gross margin	30.7%	31.5%	31.1%	+0.4pt
Selling and marketing	5.0%	5.3%	5.1%	+0.1pt
Administrative	4.7%	5.1%	5.0%	+0.3pt
Operating margin	**21.0%**	**21.1%**	**21.0%**	**0.0pt**

What drives the margin

- **People are the main cost.** Cost of sales is dominated by employee pay and subcontractors. Wage hikes, effective in Q3 and Q4 FY27, are the main near-term headwind.
- **Levers that offset it:** a weaker rupee, higher offshore mix (77.4% of effort), fewer subcontractors, and automation. Management calls its cost programme Project Maximus.
- **Administrative costs are creeping up** (+0.3pt YoY), partly from investments in AI and the Labour Codes changes.

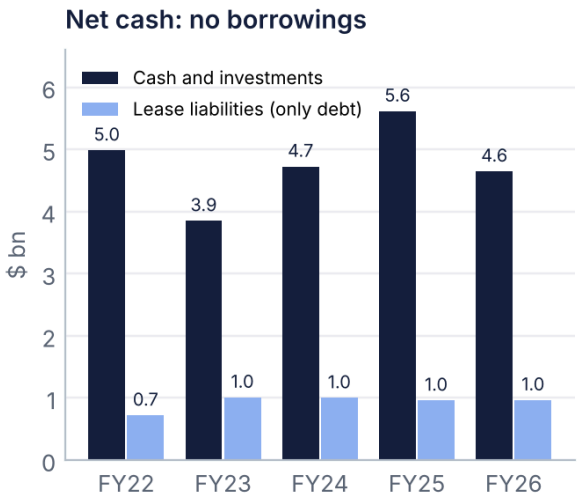
People

	Q2 FY26	Q1 FY27	Q2 FY27
Total employees	331,991	328,062	332,542
Voluntary attrition (LTM, IT services)	14.3%	13.0%	12.7%
Utilisation excl. trainees	85.1%	84.9%	85.4%
Offshore share of effort	76.8%	77.2%	77.4%
Women employees	39.5%	39.6%	39.8%

Source: Infosys Q2 FY27 fact sheet.

Headcount rose by 4,480 in Q2 after falling in Q4 FY26 and Q1 FY27, and Infosys plans to hire about 20,000 freshers in FY27. With utilisation already at 85%, a return to growth needs hiring, so rising headcount is a modestly positive signal for FY28 volumes.

Balance sheet



A fortress balance sheet. Infosys has no borrowings. Its only debt-like item is lease liabilities of about $0.9–1.0 bn (offices under IFRS 16). Cash and investments were ₹45,232 crore ($4.7 bn) at 30 September 2026, giving net cash of about ₹36,400 crore after leases, roughly 7.5% of the market cap.

Equity fell in FY26 because Infosys spent $2.0 bn on its ₹18,000 crore buyback, which also explains the lower cash balance and the drop in other income in FY27.

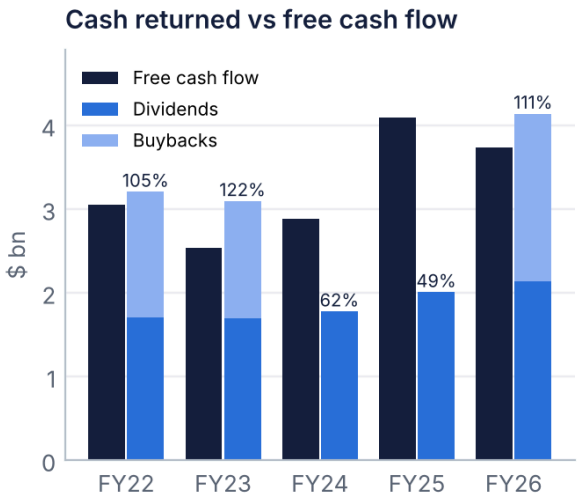
Source: S&P Global Market Intelligence via stockanalysis.com (IFRS, USD); Infosys Q2 FY27 fact sheet.

$ mn, at 31 March	FY22	FY23	FY24	FY25	FY26
Cash and short-term investments	3,185	2,322	3,321	4,321	3,706
Long-term investments	1,801	1,530	1,404	1,294	942
Trade receivables (incl. unbilled)	4,610	5,050	6,097	5,757	5,783
Unearned revenue	835	872	880	994	1,248
Lease liabilities	722	1,010	1,002	962	967
Borrowings	0	0	0	0	0
Net cash (cash + investments − leases)	**4,264**	**2,842**	**3,723**	**4,653**	**3,681**
Total equity	9,994	9,224	10,605	11,255	9,840
Operating working capital, % of revenue	8.3%	9.3%	16.1%	12.0%	10.0%

Key observations

- **No refinancing risk.** With no borrowings and net cash, the balance sheet can fund dividends, buybacks and acquisitions without strain.
- **Working capital normalised.** It jumped to 16% of revenue in FY24 (higher receivables) and has since fallen back to 10%, which helped cash conversion in FY25 and FY26. Our model assumes 10.5%.
- **Unearned revenue is rising** ($1.25 bn in FY26), meaning clients are paying in advance on more contracts, a mild positive for cash flow.

Cash flow and working capital



Cash generation is strong and steady. Free cash flow has been between $2.5 bn and $4.1 bn a year, and above net profit in four of the last five years. Capex is light at about 1.5% of revenue because the business needs offices and laptops, not factories.

FY25 was boosted by one-off income-tax refunds, so FY26's $3.7 bn is the better run-rate. In H1 FY27 FCF was $1.9 bn, 115% of net profit, so FY27 looks on track for a similar figure.

Source: S&P Global Market Intelligence via stockanalysis.com; Infosys Q2 FY27 fact sheet.

$ mn	FY22	FY23	FY24	FY25	FY26
Net income	2,963	2,981	3,167	3,158	3,313
Depreciation and amortisation	466	524	565	569	552
Stock-based compensation	56	64	79	95	108
Cash from operations	**3,345**	**2,853**	**3,148**	**4,351**	**4,039**
Capex	−290	−319	−266	−263	−306
Free cash flow	**3,055**	**2,534**	**2,882**	**4,088**	**3,733**
Lease payments (not in FCF)	−125	−151	−245	−278	−318
FCF margin	18.7%	13.9%	15.5%	21.2%	18.5%
FCF / net income	103%	85%	91%	129%	113%
Capex, % of revenue	1.8%	1.8%	1.4%	1.4%	1.5%

Working capital

Infosys bills clients monthly or on milestones, so receivables (including unbilled revenue) are its main working-capital item. Days sales outstanding fell from 71 to 64 over the past year, releasing cash. In the DCF we hold operating working capital at 10.5% of revenue, close to the five-year average, and we subtract new lease additions each year because IFRS 16 puts lease costs below the FCF line.

Returns on capital and earnings quality

Metric	FY22	FY23	FY24	FY25	FY26
EBIT margin	23.0%	21.0%	20.7%	21.2%	20.3%
Net margin	18.2%	16.4%	17.1%	16.4%	16.4%
Return on average equity	–	31.0%	31.9%	28.9%	31.4%
Effective tax rate	26.5%	27.7%	27.1%	28.9%	26.4%
Stock-based comp, % of revenue	0.3%	0.4%	0.4%	0.5%	0.5%
Dividends + buybacks / FCF	105%	122%	62%	49%	111%

Source: own calculations from IFRS USD statements (S&P Global Market Intelligence via stockanalysis.com).

Return on invested capital

Infosys earned a return on invested capital of about **49% in FY26** (NOPAT of ₹26,668 crore on operating invested capital of ₹54,584 crore, excluding cash). Return on equity of about 31% is lower only because the balance sheet carries surplus cash. Returns this high mean growth creates a lot of value; in the terminal value we assume competition brings the return on new capital down to 40%.

Earnings-quality checklist

Test	Finding	Signal
Cash backing of earnings	FCF above net profit in 4 of 5 years; 115% in H1 FY27	Green
One-off items	Q3 FY26 Labour Codes charge ($143 mn pre-tax); disclosed and adjusted	Amber
One-off cash	FY25 cash flow boosted by income-tax refunds	Amber
Other income trend	−16% YoY in Q2 FY27 as cash fell after the buyback	Amber
Tax rate	29.2% in Q2 vs 27.9% a year earlier	Amber
Stock-based compensation	About 0.5% of revenue; we treat it as a real cost	Green
Balance sheet	No borrowings; leases small and disclosed	Green
Receivables	DSO down from 71 to 64 days	Green

> **Overall:** earnings quality is high. Reported profit is backed by cash, one-offs are disclosed and small, and the main drags (lower other income, a higher tax rate) are visible and modest. The risk to Infosys is growth, not accounting.

Section 4: Valuation

Corporate life stage: mature, cash-generative, slowing

Indicator	Infosys today	Reading
Revenue growth	FY26 +3.1% CC; FY27 guide 1–2%	Mature, cyclically slow
Margins	Stable 20.5–21%	Mature, defended
Reinvestment	Capex ~1.5% of revenue; small acquisitions	Low capital needs
Return on capital	ROIC ~49%	Far above the cost of capital
Payout	~100% of FCF returned over five years	Distribution-heavy
Strategy	AI repositioning; CEO change	Renewal

Infosys is a mature franchise. Value depends on three things: how fast it grows after the current slowdown, whether margins hold near 21%, and the discount rate. A mature company should be valued with a steady terminal growth rate tied to nominal GDP, with growth paid for by reinvestment, so we use a value-driver terminal value rather than a plain Gordon formula (see page 25).

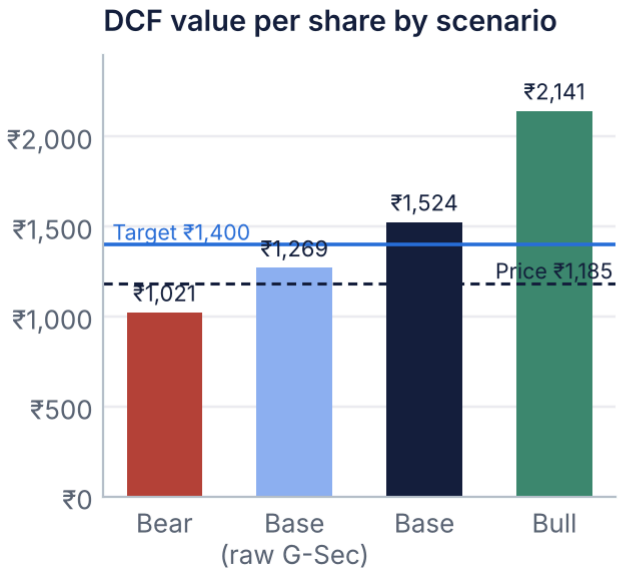
Base-case drivers

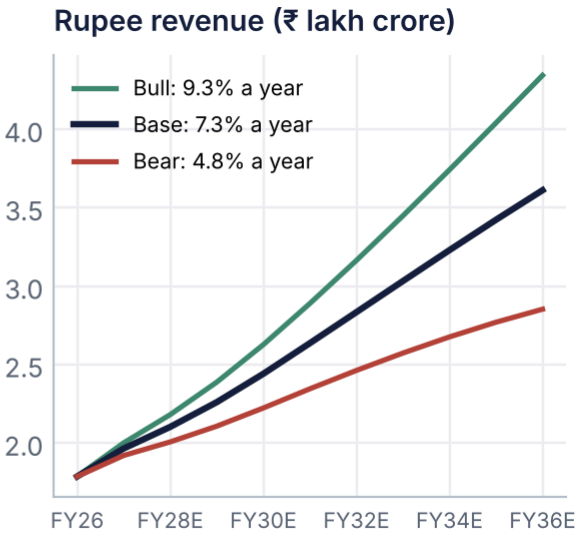
Driver	FY27E	FY28E	FY29E	FY30E	FY32E	FY34E	FY36E
Revenue growth (₹)	10.0%	7.0%	7.5%	8.0%	7.5%	6.5%	5.5%
Revenue (₹ crore)	196,515	210,271	226,041	244,125	283,429	322,981	361,190
EBIT margin	21.0%	20.9%	20.9%	20.8%	20.7%	20.6%	20.5%
EBIT (₹ crore)	41,268	44,040	47,218	50,859	58,733	66,570	74,044
Tax rate	26.5%	26.5%	26.5%	26.5%	26.5%	26.5%	26.5%
D&A, % of revenue	2.7%	2.7%	2.7%	2.7%	2.7%	2.7%	2.7%
Capex + lease additions, % of revenue	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%	3.1%
Reinvestment rate (of NOPAT)	8.8%	7.1%	7.4%	7.7%	7.4%	6.9%	6.3%

Source: own DCF model (config/infosys.yaml in the GitHub repo). FY27E rupee growth reflects H1 FY27 actual growth of 12.3% in rupees.

These drivers embed our view that constant-currency growth recovers to 4–5% from FY28, helped by the large-deal ramp, and then slows toward the 5% nominal terminal rate. The margin fades by half a point over ten years to reflect AI pricing pressure. We are not assuming a return to the double-digit growth of FY22–FY23.

Scenarios





Source: own DCF model.

	Bear	Base	Bull
Revenue CAGR FY26–FY36E (₹)	4.8%	7.3%	9.3%
Implied CC growth (approx.)	2–2.5%	4–5%	6–7%
Average EBIT margin	19.3%	20.8%	21.8%
WACC	11.4%	10.7%	10.2%
Terminal growth	4.0%	5.0%	5.5%
Exit EV/EBITDA	9.0x	11.0x	13.5x
Value per share	**₹1,021**	**₹1,524**	**₹2,141**
vs ₹1,185	−14%	+29%	+81%

Scenario definitions

- **Base:** constant-currency growth recovers to 4–5% from FY28 as large deals ramp; margin 21.0% fading to 20.5%; terminal growth 5% (nominal rupees).
- **Bull:** AI services become a real growth driver, pushing CC growth to 6–7%; margin rises to about 22% as automation offsets wages; the market pays 13.5x EBITDA at exit.
- **Bear:** AI deflation outruns new AI work. CC growth stays around 2%, margin slips toward 19%, and the market applies a higher discount rate and a 9x exit multiple.

The payoff is asymmetric: the bear case is 14% below the price, while the base and bull are 29% and 81% above it. We do not assign probabilities, because the target is set from the base-case DCF under two discount-rate views (page 28), but even a heavy weight on the bear case leaves the expected value above ₹1,185.

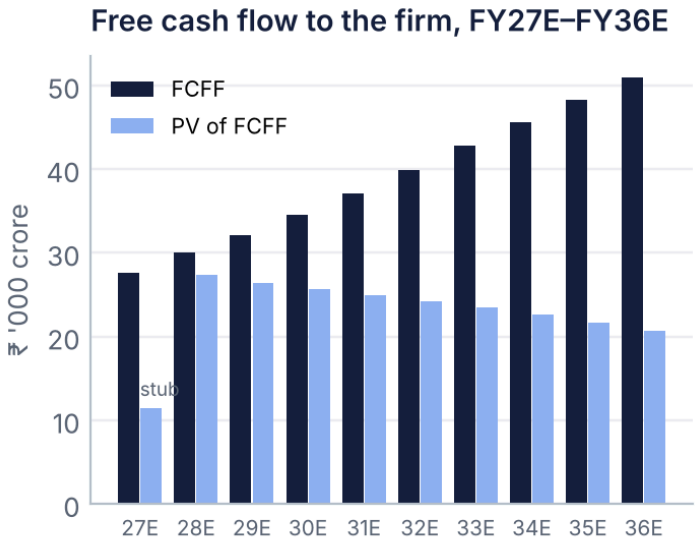
Discounted cash flow valuation

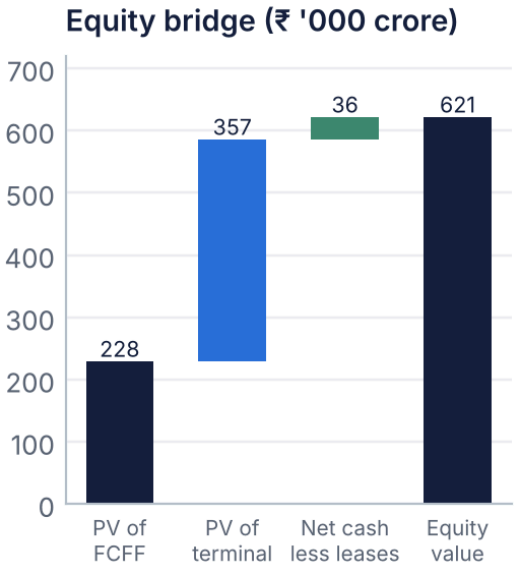
WACC build	Base case	Raw G-Sec	Basis
10-year G-Sec yield	7.40%	7.40%	6.94% GS 2036, 14 Oct 2026 (ICRA)
Less India default spread	−1.87%	0.00%	Damodaran, Jan 2026 (Baa3)
Risk-free rate	5.53%	7.40%	Local-currency, default-free
Beta (raw 0.85, Blume-adjusted)	0.90	0.90	Mid-point of published betas vs NIFTY
Mature-market ERP	4.23%	4.23%	Damodaran, Jan 2026
Country risk premium × λ	2.85% × 0.5	2.85% × 0.5	Half: revenue global, costs in India
Cost of equity	**10.76%**	**12.63%**	**CAPM + λ × CRP**
After-tax cost of debt (leases)	5.91%	5.91%	AAA 8.04% × (1 − 26.5%)
Weights: equity / debt	98.2% / 1.8%	98.2% / 1.8%	Market cap vs lease liabilities
WACC	**10.67%**	**12.51%**	

Base-case free cash flow to the firm (₹ crore)

	27E	28E	29E	30E	31E	32E	33E	34E	35E	36E
Revenue	196,515	210,271	226,041	244,125	263,655	283,429	303,269	322,981	342,360	361,190
EBIT	41,268	44,040	47,218	50,859	54,782	58,733	62,676	66,570	70,374	74,044
NOPAT	30,332	32,369	34,705	37,382	40,264	43,169	46,067	48,929	51,725	54,422
+ D&A	5,306	5,677	6,103	6,591	7,119	7,653	8,188	8,720	9,244	9,752
− Capex	-2,948	-3,154	-3,391	-3,662	-3,955	-4,251	-4,549	-4,845	-5,135	-5,418
− Lease additions	-3,144	-3,364	-3,617	-3,906	-4,218	-4,535	-4,852	-5,168	-5,478	-5,779
− Change in NWC	-1,876	-1,444	-1,656	-1,899	-2,051	-2,076	-2,083	-2,070	-2,035	-1,977
FCFF	**27,670**	**30,084**	**32,145**	**34,506**	**37,159**	**39,959**	**42,770**	**45,567**	**48,321**	**51,000**
Discount factor	0.979	0.911	0.823	0.744	0.672	0.607	0.549	0.496	0.448	0.405
PV of FCFF	11,427	27,399	26,453	25,658	24,966	24,258	23,461	22,584	21,640	20,637

FY27E is a stub: only the 5 months from the valuation date (28 Oct 2026) to 31 Mar 2027 are counted (42% of the year). Mid-year discounting.





Source: own DCF model (value-driver terminal value shown in the bridge).

Terminal value and sensitivity

Terminal method	Key input	PV of terminal value	Value per share	Used?
Value driver: NOPAT × (1+g) × (1 − g/RONIC) / (WACC − g)	g 5%, RONIC 40%	356,672	₹1,526	50%
Exit multiple on FY36E EBITDA	11.0x (implies g ≈ 4.6%)	354,547	₹1,521	50%
Gordon growth on FCFF	g 5%	381,995	₹1,589	Check only
Headline DCF value			**₹1,524**	

Equity bridge: PV of FCFF ₹228,482 cr + PV of terminal value + cash and investments ₹45,232 cr − lease liabilities ₹8,834 cr − minority interest ₹526 cr, divided by 406.87 crore shares. Terminal value is about 61% of enterprise value. Gordon is excluded because the forecast's final-year reinvestment implies an 80% return on new capital, which is too generous.

The tables show value per share. Blue cells are at or above our ₹1,400 target; red cells are below the ₹1,185 price; the outlined cell is the base case.

Table 1: WACC (rows) vs terminal growth (columns), value-driver method

WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
9.17%	₹1,793	₹1,900	₹2,033	₹2,202	₹2,423
9.67%	₹1,642	₹1,726	₹1,828	₹1,954	₹2,114
10.17%	₹1,516	₹1,583	₹1,663	₹1,760	₹1,879
10.67%	₹1,409	₹1,464	**₹1,527**	₹1,603	₹1,694
11.17%	₹1,317	₹1,362	₹1,413	₹1,473	₹1,545
11.67%	₹1,238	₹1,274	₹1,316	₹1,365	₹1,422
12.17%	₹1,167	₹1,198	₹1,233	₹1,272	₹1,318

Table 2: WACC (rows) vs exit EV/EBITDA multiple (columns), exit-multiple method

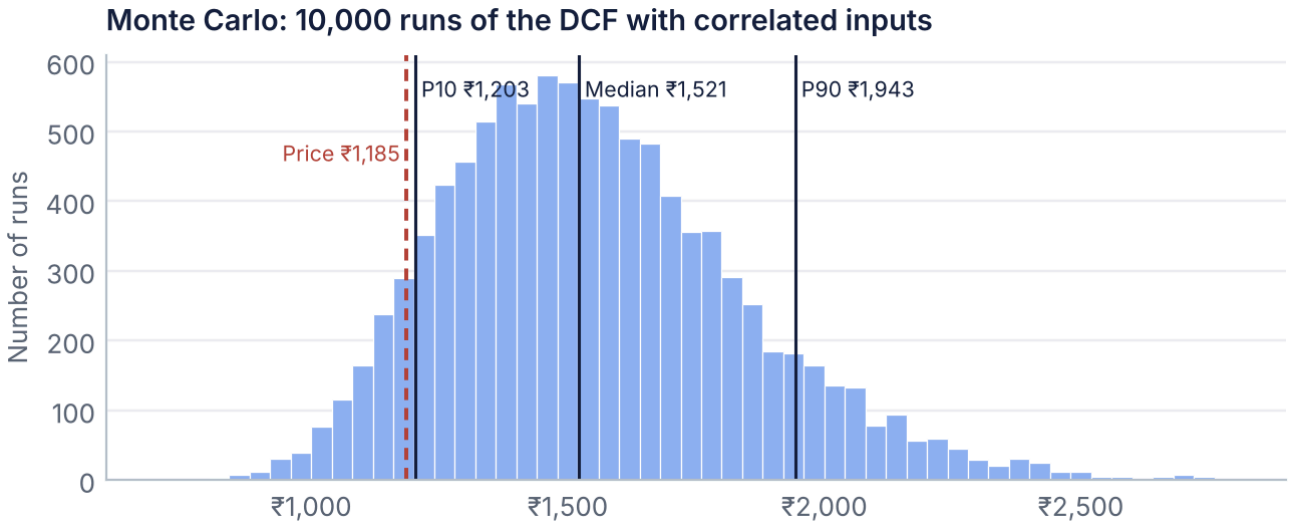
WACC \ multiple	8x	9x	10x	11x	12x	13x	14x
9.17%	₹1,406	₹1,496	₹1,587	₹1,677	₹1,767	₹1,857	₹1,947
9.67%	₹1,364	₹1,450	₹1,536	₹1,623	₹1,709	₹1,795	₹1,882
10.17%	₹1,323	₹1,406	₹1,488	₹1,571	₹1,654	₹1,736	₹1,819
10.67%	₹1,284	₹1,363	₹1,442	**₹1,521**	₹1,601	₹1,680	₹1,759
11.17%	₹1,246	₹1,322	₹1,398	₹1,474	₹1,550	₹1,626	₹1,702
11.67%	₹1,210	₹1,283	₹1,356	₹1,429	₹1,501	₹1,574	₹1,647
12.17%	₹1,176	₹1,245	₹1,315	₹1,385	₹1,455	₹1,525	₹1,594

Sensitivity at a glance (value-driver method)

Change	Value per share	Change vs base
WACC −50bp (10.17%)	₹1,663	+₹136
WACC +50bp (11.17%)	₹1,413	−₹114
Terminal growth +50bp (5.5%)	₹1,603	+₹76
Terminal growth −50bp (4.5%)	₹1,464	−₹63

Only 1 of 35 cells in each table falls below the current price, and both sit at a WACC of 12.2%, close to the raw-G-Sec discount rate. That is the honest summary of the valuation: **the BUY case depends on whether the right discount rate is nearer 10.7% or 12.5%**, which is why the target sits between the two.

Monte Carlo and reverse DCF



Source: own DCF model, 10,000 simulations, seed 42.

The Monte Carlo varies five inputs together: revenue growth (±1.5pt a year, one standard deviation), margin (±1.2pt), WACC (±0.75pt), terminal growth (triangular, 4–6%) and the exit multiple (±2x). The inputs are correlated: faster growth comes with better margins and a higher exit multiple, and higher rates come with higher nominal growth.

Statistic	Value per share	Statistic	Value
P10	₹1,203	Mean	₹1,551
P25	₹1,342	Standard deviation	₹293
Median	₹1,521	Probability above ₹1,185	91%
P75	₹1,725	Probability of 20%+ upside	64%
P90	₹1,943	Probability of 20%+ downside	0.5%

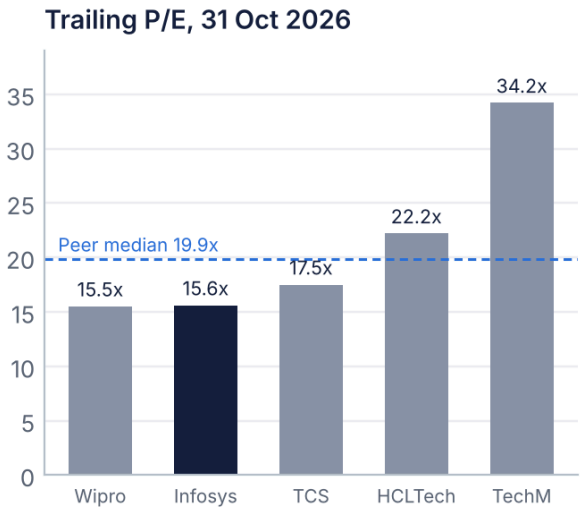
> **Caveat:** the input ranges are our own and centred on the base case, so this shows how spread out the value is under our assumptions, not the true odds that the stock is undervalued. It does not cover the raw-G-Sec discount rate, which sits outside most draws.

Reverse DCF: what ₹1,185 implies

If you hold...	...the price implies
Our forecasts (7.3% a year rupee growth, ~21% margin)	A WACC of 12.5%: almost exactly the raw G-Sec version
Our 10.7% WACC	Rupee revenue growth of 3.6% a year for ten years, roughly flat in constant currency

So the market is either applying the most conservative discount rate or pricing Infosys as if it stops growing in real terms. We think the second is too bleak given $5.2 bn of quarterly deal wins and AI revenue growing 29% a quarter. The first is a fair debate, which is why our target sits between the two DCF versions rather than at the top.

Relative valuation



Source: Tapetide, prices and multiples as of 31 Oct 2026.

Infosys trades on **15.6x trailing earnings**, level with Wipro and below TCS (17.5x) and HCLTech (22.2x). The discount to TCS and HCLTech reflects two guidance cuts in 2026 and slower growth than both. Tech Mahindra's 34.2x is inflated by depressed earnings during its turnaround, so we look at the median and at the median without it.

Infosys used to trade at a premium to most of this group. If FY28 growth recovers toward 4–5% CC, closing even half the gap to TCS would lift the stock about 6% on multiple alone.

Company	Price (₹)	Market cap (₹ L cr)	Trailing P/E	Note
TCS	2,503	9.05	17.5x	Largest peer
HCLTech	1,428	3.88	22.2x	Fastest-growing large peer
Wipro	198	1.96	15.5x	
Tech Mahindra	1,791	1.76	34.2x	Depressed earnings
Peer median			**19.9x**	**17.5x excluding Tech Mahindra**
Infosys	**1,185**	**4.82**	**15.6x**	**FY28E P/E 13.9x**

Peer multiples to implied value

Peer median	→	Infosys TTM EPS	→	Implied value
19.9x		**₹75.6**		**₹1,322–1,500**
trailing P/E		H2 FY26 + H1 FY27		17.5x to 19.9x

Method	Multiple	Value per share	vs price
Peer median trailing P/E	19.9x	₹1,500	+27%
Peer median excl. Tech Mahindra (= TCS)	17.5x	₹1,322	+12%
DCF model comps (P/E, 13 Oct snapshot incl. LTIMindtree)	median	₹1,443	+22%
DCF model comps (EV/EBITDA, three peers)	median	₹1,345	+14%
Our target, as a multiple	**17.9x FY27E / 16.5x FY28E**	**₹1,400**	**+18%**

Relative valuation supports the DCF: every peer-based method gives ₹1,322–₹1,500. Our ₹1,400 target needs only 17.9x FY27E earnings, the multiple TCS trades on today, not a return to Infosys's old premium.

Rating and target price

The target is built in four steps: two versions of the same DCF, a midpoint, and a cross-check against earnings multiples.

DCF, risk-free = G-Sec less default spread
₹1,524
WACC 10.7%

DCF, risk-free = raw G-Sec yield
₹1,269
WACC 12.5%

→

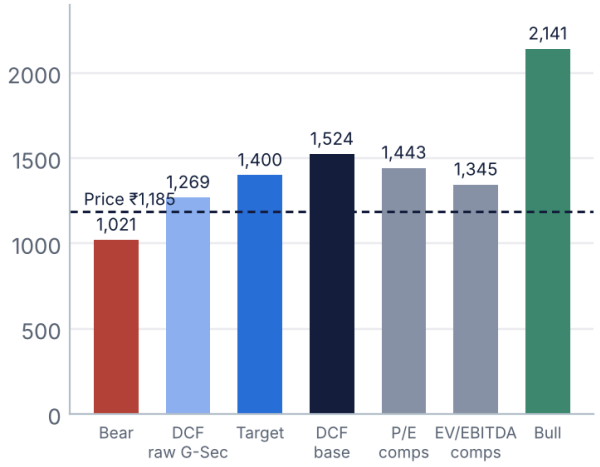
Midpoint
₹1,397
rounded to ₹1,400

→

12-month target
₹1,400
17.9x FY27E EPS

vs ₹1,185: **+18.1% price return**
~+22% total return incl. dividends

Value per share vs price (₹)



Source: own DCF model; peer multiples Tapetide, 31 Oct 2026.

How we get from DCF to rating

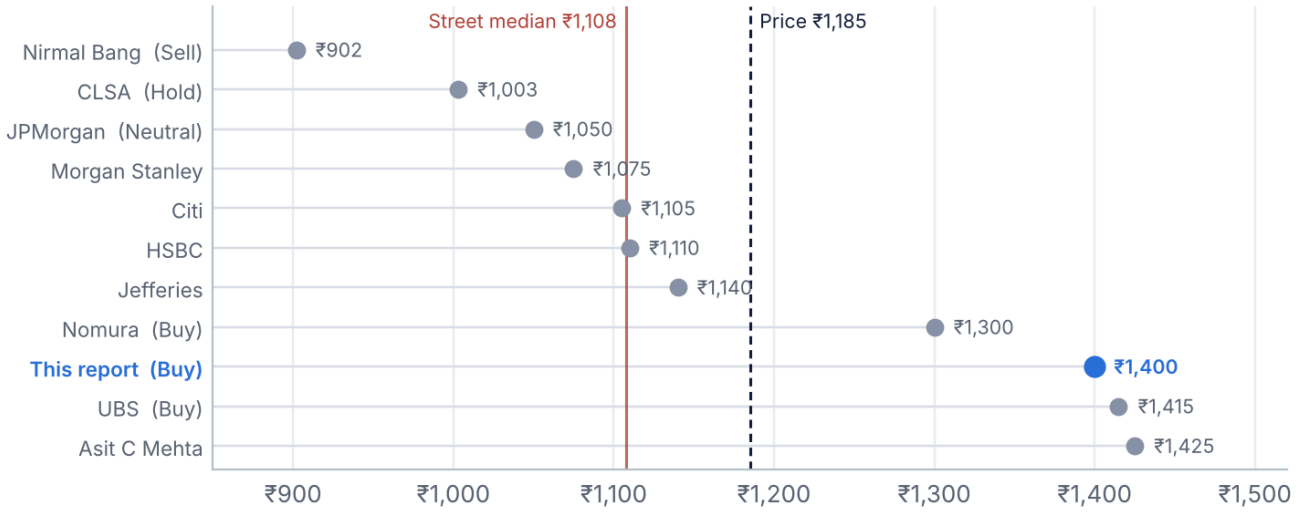
1. Base DCF using Damodaran's local-currency risk-free rate: **₹1,524**.
2. Same DCF with the raw 7.40% G-Sec yield, the conservative view: **₹1,269**.
3. Midpoint ₹1,397, rounded to **₹1,400**. We do not roll it forward: rolling ₹1,397 forward 12 months at the 10.8% cost of equity less expected dividends would give about ₹1,495, so the target is deliberately conservative.
4. Cross-check: ₹1,400 is 17.9x FY27E and 16.5x FY28E EPS, in line with TCS and below the peer median.
5. Expected price return +18.1%; with a ~4% dividend yield, total return about +22%.
6. Rule: BUY at +15% or more, HOLD between −5% and +15%, SELL below −5%. Result: **BUY**.

What the market is pricing in

- Roughly zero real growth for a decade (3.6% a year in rupees), below even the twice-cut FY27 guidance.
- Or, on our forecasts, a 12.5% discount rate that counts India's default risk twice.
- A permanent discount to TCS, as if Infosys cannot close the growth gap.

Our view against the Street

Most brokers turned cautious after the Q2 guidance cut. Our target sits near the top of their range, alongside UBS and Asit C Mehta; the median of ten published targets is ₹1,108, below the current price.



Source: Business Today, 26 Oct 2026 (10 of the 25 brokers covering the stock); ratings shown where stated. Price NSE close 31 Oct 2026.

	The Street (median ₹1,108)	Our view (₹1,400)
Time horizon	Next two quarters	FY28 and beyond
Growth	Third year of 1–3% CC; guidance risk	Deal ramp lifts FY28 to 4–5% CC
Margins	Q2 miss; wage hikes in H2	Stable 20.5–21% band, as for six quarters
AI	Mostly deflation	Deflation and new work; AI 10.5% of revenue
Valuation	Discount to TCS deserved	Discount already priced; DCF and peers above price

Catalysts

Catalyst	Timing	What to monitor	Why it matters
Investor roadshows	Nov 2026	Tone on pipeline and pricing	First read after the guidance cut
Q3 FY27 results	Mid-Jan 2027	Guidance held at 1–2%; margin after wage hikes	Rules out a third cut
Ashiss Kumar Dash becomes CEO	1 Apr 2027	AI strategy; capital allocation	Sets the tone for FY28
Q4 FY27 results and FY28 guidance	Apr 2027	CC growth guidance of 3%+	The key test of the thesis
Mega-deal ramp	FY28	Revenue from the $2 bn+ deal	Management: 1pt+ of FY28 growth

Risks

Our bear case is worth ₹1,021 a share, 14% below the current price: AI cuts pricing faster than new AI work replaces it.

Risk register: risk, KPI affected, valuation impact

Risk	KPI affected	Potential valuation impact	Likelihood / impact
AI deflation in managed services	CC growth, pricing	Bear case ₹1,021 (−14%)	Medium / High
Third guidance cut or weak FY28 guide	CC growth	Toward raw-G-Sec value (₹1,269) or lower	Medium / High
Margin pressure (wages, pricing, deal ramp costs)	Operating margin	−1pt margin ≈ −₹70 per share	Medium / Medium
CEO transition	Deal wins, attrition	Delays the FY28 recovery	Low–medium / Medium
US slowdown spreading beyond retail and hi-tech	North America growth	Lower growth path; bear case	Medium / High
Rupee appreciation	Rupee revenue, margin	~3% a year depreciation is in the base case	Low–medium / Medium
Higher Indian bond yields	WACC	+50bp WACC ≈ −₹114 per share	Medium / Medium
Faster AI-led growth (upside risk)	CC growth, margin	Bull case ₹2,141 (+81%)	Low–medium / High

Source: author's assessment; own DCF model sensitivities. Margin impact: model run with a 1pt lower margin in every year.

What would change our view

Risk	Why it matters	We would downgrade if...
AI deflation	Clients ask for AI productivity back as lower prices	A third FY27 cut, or FY28 guidance below 2% CC
Margins	Wage hikes in Q3–Q4 and deal ramp-up costs	Operating margin below 20% for two quarters
CEO transition	Strategy and client relationships around April 2027	Senior departures or a pause in large-deal wins
US demand	North America is 55% of revenue	Slowdown spreading into financial services
Rupee	Our rupee growth assumes ~3% annual depreciation	Rupee strengthening sustainably below ~90 per dollar
Discount rate	At the raw G-Sec rate the stock is worth ₹1,269	10-year G-Sec above 7.75%

Risk to the call: because our target relies partly on the lower, Damodaran-style discount rate, a reader who insists on the raw G-Sec yield would rate the stock HOLD (₹1,269, +7%). We think that view double-counts country risk, but it is a legitimate disagreement and the main reason we do not set the target at ₹1,524.

Appendix A: Assumption register

Assumption	Value	Source / rationale
Price / valuation date	₹1,185 (31 Oct 2026) / model dated 28 Oct 2026	NSE close; model stub period from 28 Oct
Diluted shares	406.87 crore	Market cap / price, 27 Oct 2026
Cash and investments	₹45,232 crore	Q2 FY27 fact sheet, 30 Sep 2026
Lease liabilities / minority interest	₹8,834 crore / ₹526 crore	30 Jun 2026 balance sheet at ₹95.71/$
10-year G-Sec / default spread	7.40% / 1.87%	ICRA (14 Oct 2026) / Damodaran (Jan 2026)
Beta / mature ERP / CRP / λ	0.90 / 4.23% / 2.85% / 0.5	Published betas; Damodaran; own judgement
WACC (base / raw G-Sec)	10.7% / 12.5%	Computed
Revenue growth (₹)	10% FY27E, 7–8% FY28–31E, fading to 5.5%	4–5% CC + 2.5–3% rupee depreciation
EBIT margin	21.0% fading to 20.5%	Guidance 20–22%; mild AI pricing pressure
Tax / D&A / capex / lease additions	26.5% / 2.7% / 1.5% / 1.6% of revenue	FY26 actuals and five-year averages
Operating working capital	10.5% of revenue	Five-year average 11.2%; FY26 10.0%
Terminal growth / RONIC / exit multiple	5.0% / 40% / 11.0x EBITDA	Below nominal GDP; ROIC fades from ~49%
Rating thresholds	BUY ≥ +15%; HOLD −5% to +15%; SELL < −5%	Own rule

Appendix B: Methodology and data notes

- Free cash flow to the firm = NOPAT + D&A − capex − new lease (right-of-use) additions − change in operating working capital. Because IFRS 16 puts lease costs in depreciation and interest, we subtract lease additions and treat lease liabilities as debt.
- The valuation date falls partway through FY27, so only the remaining 42% of FY27's cash flow is counted; cash flows are discounted from the middle of each period.
- Stock-based compensation is treated as a real cost and not added back.
- The cost of equity uses CAPM with a local-currency risk-free rate (G-Sec less India's default spread) plus half of India's country risk premium, following Damodaran. The raw-G-Sec version is shown alongside because many Indian practitioners use it.
- Historical statements are IFRS US-dollar figures standardised by S&P Global Market Intelligence; the model converts them to rupees at the exchange rate implied by Infosys's reported rupee revenue for each year.
- The ₹26 interim dividend has a record date of 3 Nov 2026, so the 31 Oct price is cum-dividend and cash at 30 Sep still includes it; no adjustment is needed.
- Peer multiples, shareholding and broker targets are third-party aggregator data and may differ from terminal data.

Appendix C: Sources

Category	Source	Used for
Company	Infosys Q2 FY27 fact sheet and IFRS INR / USD press releases (23 Oct 2026); Q1 FY27 (23 Jul 2026), Q4 FY26 and Q3 FY26 (14 Jan 2026) results; press release on CEO Designate (23 Jul 2026)	Financials, verticals, geographies, clients, headcount, guidance, leadership
Financial data	stockanalysis.com (S&P Global Market Intelligence): income statement, balance sheet, cash flow, FY22–FY26	Historical statements and ratios
News and analysis	CRN Asia (Q2 FY27 results); Business Today (broker targets, 26 Oct 2026); Free Press Journal; Bajaj Broking (Q4 FY26); Upstox (CEO succession); People Matters and Outlook Business (hiring and headcount)	Deal details, broker views, Q4 FY26 figures, hiring
Market data	NSE prices; Tapetide IT sector table (31 Oct 2026); Equitymaster shareholding pattern (Sep 2026)	Price, peer multiples, market caps, shareholding
Rates and risk premiums	ICRA Analytics via Aditya Birla Sun Life daily fixed income tracker (15 Oct 2026); Damodaran country risk dataset (Jan 2026)	G-Sec and AAA yields; default spread, CRP, ERP
Own work	Infosys DCF model, github.com/monisha-jasrai/Infosys-DCF-Model	DCF, scenarios, sensitivity, Monte Carlo, reverse DCF

Appendix D: Glossary

CC (constant currency): growth with exchange rates held fixed. **TCV:** total contract value of deals won. **FCFF:** free cash flow to the firm. **NOPAT:** net operating profit after tax. **WACC:** weighted average cost of capital. **RONIC:** return on new invested capital. **ROIC:** return on invested capital. **G-Sec:** Government of India security. **Default spread:** extra yield a sovereign pays for its default risk. **CRP:** country risk premium. **ERP:** equity risk premium. **λ (lambda):** a company's exposure to country risk. **DSO:** days sales outstanding. **LTM / TTM:** last / trailing twelve months. **GCC:** Global Capability Centre, a multinational's in-house technology centre. **IFRS 16:** the leasing standard that puts most leases on the balance sheet. **Lakh crore:** ₹1 trillion.

This report is a learning exercise, not investment advice. A formula-driven Excel model supporting the valuation is available in the GitHub repository above.